position to other candidates would arise only if Subir was not recommended by the governor, which obviously was not the case. Chidambaram did not budge and insisted that we go through a process of selection. He agreed though that Subir could be considered by the selection committee along with other candidates.

The selection committee, under my chairmanship, went through the due process and agreed on a panel of three candidates, with Subir Gokarn at the top of the list. A couple of days later, P. K. Misra, secretary of the Department of Personnel, who was also a member of the selection committee, called me up to say that the minutes had to be redrafted since the rules did not allow for the committee to rank candidates in order of preference. I was surprised because he, as the 'minder of rules', had not said so when we met in the committee. I told him that I could not agree to the redrafting of the minutes through a bilateral, oral arrangement and that we should follow the due process. He should write to me explaining the rule position, then we should reconvene the committee to review the decision, and if agreed, dispense with the ranking. I did not hear from him again on this.

Subir's tenure was coming to an end on 31 December 2012. But even after Christmas, there was no news from the government. I was hoping that since his name was on top of the list, the finance minister would, even if reluctantly, acquiesce. We had a farewell function planned on 31 December to bid farewell to a couple of senior officers who were superannuating that day. My staff asked if we should cover Subir too under this farewell. I said 'no' in the hope that the reappointment would come through literally even at the eleventh hour. In the event, I underestimated Chidambaram's desire to bring 'fresh thinking' into the Reserve Bank. Later that afternoon, we got the news that Subir's appointment was not being renewed.

In an article titled 'Silencing the RBI' in the *Business Standard* of 9 January 2013, Rajeev Malik, a columnist, wrote: 'In some ways, the government's decision not to extend Mr Gokarn's term appears to be a censure of Governor Subbarao. His second term ends in September this year, so he could not be shown the door before without rattling investors.